



RUPTURE An interim government has been formed in Bangladesh after the resignation and flight of former PM Sheikh Hasina in light of protests

is a well-diversified exporter.

Bangladesh has also been facing persistently high inflation at over 9% that has muted consumer demand. Additionally, it is in the midst of a foreign exchange crisis that has limited its ability to import.

There are concerns for some business houses as well, like the future of a power supply agreement with Adani Power commissioned in June 2023 and which supplies 100% of power to Bangladesh. Under the agreement with Bangladesh Power Development Board (BPDB), Adani Power is to supply 1,496 MW of net capacity for 25 years via a 400 kV dedicated transmission system.

“In its normal course of business, BPDB is scheduling the power supply to meet their demand, and as per that schedule, Adani Power continues to supply power to the Bangladesh power utility without any disruption. Going forward too, we will remain guided by BPDB’s schedule and as per the provisions of PPA between two utilities,” says a spokesperson for Adani Power.

Several Indian MNCs, including Dabur India, Marico, and Adani Wilmar, that have a presence in Bangladesh are also scrambling to ensure smooth functioning.

Personal care major Marico has a presence, with its haircare portfolio dominating the market. For Marico, the Bangladesh market is important because of the high profitability there. Marico Bangladesh raked in ₹1,011.5 crore in sales in FY23—8.5% higher than in the previous year. It reported a net profit of ₹275 crore.

On August 7, the company told Sebi that “operating conditions in the market are gradually improving;

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Radhika Pandey, Associate Professor at the National Institute of Public Finance and Policy (NIPFP), points out that Bangladesh features among the Top 10 export markets for India. It accounted for 2.5% of India’s exports in FY24, and India had a trade surplus of \$9.2 billion with it. The eastern neighbour is a major market for India’s textile and agricultural exports, she points out, and that could take an immediate hit since the kharif harvest is approaching. Similarly, cotton shipments could suffer as Bangladesh accounts for 35% of India’s cotton exports, she says.

S&P Global Ratings, in a webinar, however, said the fall in exports due to the crisis is unlikely to have any meaningful impact on India’s overall trade position for the year since India

TRADE TALK

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